MAHATMAGANDHI UNIVERSITY,KOTTAYAM

THIRD SEMESTER MG-UGP (HONOURS) REGULAR EXAMINATION-----2025

MG3DSEECO203- MONETARY ECONOMICS

(2024 ADMISSION ONWARDS)

Duration: 2 Hours **Maximum Marks: 70**

***Remember (K), Understand (U), Apply (A), Analyse (An), Evaluate (E), Create (C), Skil(S), Interest (I) and Appreciation (Ap)**

Students should attempt atleast one question from each course outcome to enhance their overall outcome attainability

Part A

Multiple Choice Questions

Answer all questions

Each question carries 1 mark

1. Money is generally classified into [K][1]
A. Commodity and Paper Money
B. Metallic and Fiat Money
C. Narrow and Broad Money
D. All of the above

2. Increase in money supply, keeping output constant, leads to [U][4]
A. Deflation
B. Lower interest rates
C. Inflation
D. Economic recession

3. Which of the following is a risk associated with e-money**?** [K][1]

A) Inflation
B) Hacking and cyber attacks
C) Physical theft
D) Lack of portability

4. Demand for money in modern theory is seen as [U][2]
A. Passive
B. Irrelevant
C. Active and significant
D. Constant

5. Real Balance Effect was developed by [K] [2]
A. Pigou
B. Keynes
C. Friedman
D. Gurley

6. The first central bank was [K][3]
A. RBI
B. Bank of France
C. Bank of England
D. Federal Reserve

7. One of the tools of monetary policy is [K][3]
A. GST
B. CRR
C. Fiscal deficit
D. Tariffs

8. Which of the following is the broadest measure of money supply in India? [K][2]

A) M0
B) M1
C) M2
D) M3

9.The headline inflation in India is usually measured by [K][4]
A. Wholesale Price Index
B. Consumer Price Index
C. GDP deflator
D. Money Supply

10.The Reserve Bank of India was nationalized in which year? [K][3]
A. 1949
B. 1951
C. 1934
D. 1969

(1 x 10 = 10Marks)

Part B

Short Answer Questions (50 words)

Answer any 10 questions

Each question carries 3 mark

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11.Narrate the Gurley and Shaw approach to money supply. [K][1]

12.What is CBDC? [K][1]

13.What is neutrality of money? [K][3]

14.State Fisher's Equation of Exchange. [K][2]

15.Explain how Open Market Operation helps to ease inflation in an economy. [A][4]

16.What is meant by Liquidity Adjustment Facility (LAF)? [U][3]

17.Define Call Money Market in brief. [U][3]

18.What is metallic standard ? Give examples . [K][1]

19.What is CPI and how is it used to measure inflation? [U][4]

20.Which are the monetary aggregates used in India ? [K][2]

21.Distinguish fiat money and fiduciary money . [An][1]

22.What are the functions of commercial banks? [U][4]

23.What are the effects of inflation in an economy? [U][4]

24.What is Variable Reserve Ratio? [U][3]

25.Define built-in inflation. [U][4]

(3 x 10= 30 Marks)

Part C

Short Essay Questions (160 words)

Answer any 5 questions

Each question carries 6 marks

26.Explain Keynesian theory of demand for money with its three motives. [U][2]

27.What are the functions of a Central Bank in an economy? [U][3]

28.Distinguish demand pull and cost push inflation . [An][4]

29.What is high powered money? [U][2]

30.Explain different methods of note issue . [K][1]

31.What is money ? What are the primary and secondary functions of money? [K][1]

32.Explain the components of a commercial bank's balance sheet. [U][4]

33.What are NPAs? Analyse its impact on the banking system. [An][4]

34.Analyse the role of money in a modern economy [An][1]

35.Discuss Friedman's Restatement of Quantity Theory Of Money . [U][2]

(5 x 6= 30Marks)